

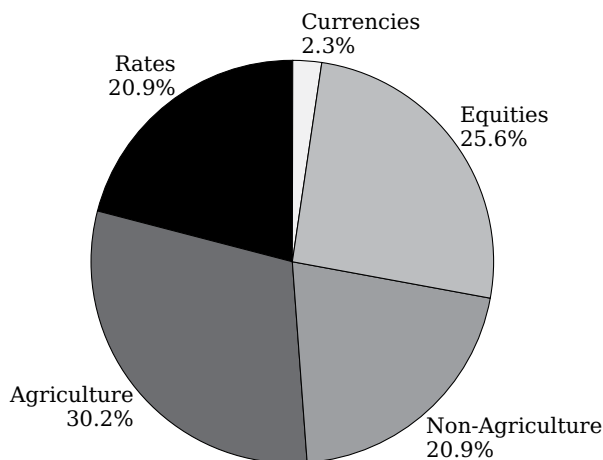


FIGURE 6.50 Sector allocation 2010.

After nine years of trading futures models, you're probably also starting to get a bit jaded. Perhaps the ups and downs of everyday life as a futures manager isn't getting to you as much any more. After all, it always worked out in the past. Even when there were stomach-turning losses, we always recovered them. So when this year starts to wobble up and down, from an initial +8% to -5% by February, it might not bother you as much. Even when the profits are back up to +10%, only to drop down to -15% in August, you might have learned to shrug it off.

We are, once more, saved by the second half of the year, and profits move up from the double digits negative, up to +35% in November. A sharp loss, a partial recovery and we end the year with trading gains of +30% for 2011 (Figures 6.51–6.53). It was another year not too different from what we've already seen. Eventful, plenty of nail-biting episodes, mixing between uneventful slow moves to sharp losses, to swift gains, but all's well that ends well. Nine years and clear sailing! I bet you could get used to this.

The one sector which worked out for us during the whole year was the rates. These guys took off at the start and never really looked back. More troublesome were the equity markets, where we saw loss after loss and failed to make any money. The non-agricultural space as well showed us nothing but losses. In terms of action, we saw some interesting moves in the agricultural space, where we had losses up until late in the year, but it was the turnaround in this sector which saved our bacon in the end. That sharp drop and recovery late in the year, that was all the agricultural sector as well (Figure 6.54).